UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION

Interconnection of Large Loads to the Interstate Transmission System	**)** **)**	**Docket No. RM26-4-000**

COMMENTS OF THE CLEAN ENERGY BUYERS ASSOCIATION IN RESPONSE TO NOTICE INVITING COMMENTS

The Clean Energy Buyers Association ("CEBA") submits comments on the Federal Energy Regulatory Commission ("FERC" or "Commission") Notice Inviting Comments[1] regarding the proposed Advance Notice of Proposed Rulemaking ("ANOPR"), *Ensuring the*

[1] *Interconnection of Large Loads to the Interstate Transmission System*, *Notice Inviting Comments,* Docket No. RM26-4-000 (Oct. 27, 2025).

Timely and Orderly Interconnection of Large Loads.[2] Issued pursuant to the Department of Energy ("DOE") Secretary's authority under section 403 of the DOE Organization Act[3] for Commission consideration and final action, the proposed ANOPR directs the Commission to initiate rulemaking procedures on potential reforms to enable the interconnection of large loads to the transmission system.

CEBA is a business trade association that activates a community of energy customers and partners to deploy market and policy solutions for a carbon emissions-free energy system. CEBA's more than 400 members comprise one-fifth of the Fortune 500, represent $38 trillion in market capitalization, and include institutional energy customers of every type and size — corporate and industrial companies, universities, and cities.

CEBA supports DOE's focus on advancing the global leadership of the United States in artificial intelligence (AI), the modern digital economy, and revitalizing the domestic manufacturing and heavy industry base. The ANOPR proceeding represents a significant first step toward streamlining the often-slow and unclear large load interconnection process. We submit these comments to provide the Commission with background and context regarding the suite of issues raised by the Commission's ANOPR and its focus on rapidly accelerating the interconnection of large loads, including data centers, positioning the United States to lead in the 21st century industries. CEBA's members have a strong interest in ensuring rules that enhance the efficiency of meeting customer demand, including through streamlined load and generation interconnection processes, that enable growth of industries crucial to economic, global competitiveness and national security, and rules that do not unnecessarily slow down the

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[2] *Ensuring the Timely and Orderly Interconnection of Large Loads*, *Advance Notice of Proposed Rulemaking,* Docket No. RM26-4-000 (Oct. 27, 2025) [hereinafter ANOPR].
[3] 42 U.S.C. § 7173(a).

availability of sufficient supplies of power and infrastructure to meet the needs of those growing industries. CEBA provides a unique perspective given its diverse array of members and industries. CEBA's members are fueling American industries, which require large amounts of electricity, such as advanced manufacturing, electrification, and AI which have substantial economic, jobs and national security significance. CEBA members have adopted or are pursuing a range of procurement approaches to power their operations, including a range of co-location approaches.

DOE has directed FERC to consider a proposed rule to give FERC jurisdiction over the interconnections of loads larger than 20 MW, to "rapidly accelerate" their addition to the grid. Historically, FERC has not asserted jurisdiction over load interconnections. Secretary of Energy Chris Wright said in a letter to FERC, "[i]t is my view that the interconnection of large loads directly to the interstate transmission system ... to access the transmission system and the electricity transmitted over it falls squarely within the Commission's jurisdiction". "Asserting Commission jurisdiction is in the public's interest." The ANOPR says it seeks to avoid "even arguably affecting" states' jurisdiction by limiting FERC's authority to interconnections directly to transmission facilities. It also emphasized the need for uniform standards and called for rewarding large load flexibility.

As a threshold issue, CEBA does not take a position on the ANOPR's legal analysis regarding the Commission's jurisdiction over interconnection of transmission-connected loads. However, if the Commission proceeds with a rulemaking in this docket, it will be critical for the Commission to explicitly seek comment on and clearly define the boundaries of its jurisdiction to ensure that any final rule rests on a solid legal foundation and is well-understood by industry stakeholders.

Setting aside the jurisdictional question, the issues under consideration in the ANOPR are core to fulfilling the Commission's statutory obligations under the Federal Power Act (FPA), 16 U.S.C. §§ 791a et seq., including:

- Ensuring just and reasonable rates (FPA §§ 205–206);
- Preventing undue discrimination (FPA § 205(b));
- Maintaining the reliability of the Bulk-Power System (FPA § 215);
- Supporting efficient transmission system planning and operations (FPA §§ 202, 206).

Any guidance issued in this proceeding will help determine whether the U.S. electric system can respond to rapidly escalating demand in a manner that preserves reliability and places downward pressure on electricity prices. Below, CEBA offers a set of principles that the Commission should consider if it proceeds with its proposed rulemaking. These principles are grounded in the need for regulatory clarity, speed, cost discipline, and system efficiency during a period of unprecedented demand growth.

1. Prioritize Rapid Deployment of Energy Infrastructure for Large Loads to Maintain U.S. Technological Leadership While Balancing Federal and State Jurisdiction.

The United States is facing an unprecedented surge in electricity demand driven by artificial intelligence, high-performance computing, advanced manufacturing, and defense-critical applications. Power availability is now a central factor determining whether the U.S. can remain the global leader in innovation. Meanwhile, China is rapidly deploying large-scale energy-industrial hubs that deliver enormous volumes of reliable, low-cost electricity directly to AI clusters and industrial campuses—compressing timelines and enabling rapid iteration.

The U.S. electric system is struggling to keep pace. Transmission congestion, multi-year interconnection delays, and aging infrastructure are slowing deployment and increasing costs. Faster load and generation interconnection, including co-locating large loads directly with generation, can dramatically accelerate deployment timelines while simultaneously improving reliability and lowering costs. The speed at which the U.S. deploys energy-aligned AI infrastructure will determine whether it sets the pace of global technological development or follows it.

The ANOPR would apply only to new standalone loads over 20 MW and loads over 20 MW sharing an interconnection point with generation (hybrid facilities). It seeks comment on whether 20 MW, or another threshold, is appropriate. As FERC considers asserting jurisdiction over large loads connected at the transmission level, CEBA recommends substantially increasing the threshold to avoid overburdening the large load interconnection process. A new standard, such as a 75 MW threshold instead of 20 MW, would ensure that FERC is focusing its attention and resources on loads that have greater system impact. A 20 MW cutoff, for example, is too low: it would capture many mid-sized industrial and commercial facilities (factories, hospitals, campuses) traditionally under state jurisdiction, creating tension with state regulators and blurring wholesale vs. retail boundaries. Thousands of projects could qualify at 20 MW, overwhelming FERC and slowing the very process it aims to streamline. DOE and FERC cite AI data centers and electrification as justification for federal involvement; these projects often require hundreds of MW. A 75 MW threshold ensures FERC focuses on the most impactful cases while leaving smaller projects to state processes.

2. Cost Allocation for Large Loads Must be Transparent, Location-Specific, and Grounded in Cost Causation to Ensure Fairness, Guide Efficient Siting, and Protect Consumers from Inflated Electricity Prices.

Rising electricity prices are straining households, weakening U.S. industrial competitiveness, and increasing operating costs for the sectors critical to national security. A cost-allocation framework grounded in cost causation is essential to preventing unjust and unreasonable outcomes. Large loads should pay for upgrades required for their interconnection, but should similarly receive the broader benefits that those upgrades may provide to other grid customers. These benefits should be allocated consistent with the Commission's cost allocation principles. Under long-established Commission precedent and as affirmed by the courts, costs must be allocated "at least roughly commensurate" with benefits.[4] This standard does not require exacting precision in calculating benefits for the purposes of allocating costs, however it requires that "all approved rates reflect *to some degree* the costs actually caused by the customer who must pay them."[5] Through that lens, the Commission should adopt a clear *pro forma* cost-causation framework tailored to large load interconnection where large load customers are responsible for:

- Upgrades directly triggered by their interconnection to the extent that those upgrades do not convey broader benefit to other grid customers;
- Transmission services actually used, consistent with FERC-approved cost allocation rules for the applicable transmission provider.

[4] *Ill. Com. Comm'n v. FERC*, 576 F.3d 470, 477 (7th Cir. 2009), *reh'g denied en banc*, 2009 U.S. App. LEXIS 24192 (7th Cir. Oct. 20, 2009).
[5] *K N Energy, Inc. v. FERC*, 968 F.2d 1295, 1300 (D.C. Cir. 1992) (emphasis added).

Any cost allocation rules that emerge from this proceeding should avoid setting load interconnection rates using overly generalized estimates or broad averages that bear little or no relationship to anticipated usage at specific locations on the transmission system. Pricing load interconnection service in a manner that at least roughly reflects usage and location sends an important signal to companies developing large load facilities by guiding new load toward locations where interconnection will impose the least system stress. At the same time, the Commission should balance granularity in pricing with the need for predictable, transparent assignment of cost responsibility to reduce disputes and delays, accelerate project timelines, and help keep electricity prices under control for all consumers.

The Commission should also recognize that some large loads may want to provide value by offering demand flexibility, which supports grid stability and can reduce peak demand and defer costly infrastructure upgrades. However, these loads are often not compensated because retail tariffs focus on energy consumption rather than flexibility, and wholesale market participation can be restricted by size and compliance requirements. Regulatory gaps and limited valuation frameworks further prevent monetizing benefits like avoided emissions and reliability improvements. As a result, despite their potential to enhance efficiency and resilience, large loads rarely receive financial recognition for these contributions.

3. Coordinating Large-Load and Generation Studies is Essential to Reduce Delays, Lower Costs, and Maintain System Reliability.

Interconnection delays have become one of the largest obstacles to meeting the nation's growing electricity needs. Lengthy and unpredictable study processes stall both generation and large loads, driving up costs and straining system reliability. High congestion costs and unreliable timelines increasingly translate into higher retail and wholesale prices, creating structural economic disadvantages relative to countries with faster build cycles.

Under FPA §§ 205 and 206, unjust and unreasonable delays in interconnection can constitute undue discrimination. The Commission has long recognized the importance of timely interconnection procedures (Order No. 2003; Order No. 2023 for generators).

Slow generation interconnection studies:

- Force reliance on aging or expensive generation;
- Increase congestion-driven price spikes;
- Reduce reliability margins;
- Delay the availability of new flexible demand resources.

CEBA strongly supports the ANOPR proposal to jointly study supply-side and large-load interconnection customers where practicable. Two critical factors for interconnection customers, cost and timeline, drive developers to submit multiple requests for price and timing discovery. This practice inflates queue volumes, distorts demand and supply forecasts, and causes significant delays when projects withdraw late after finding costs or energization timelines uneconomic.

Coordinating studies for large loads and generation can identify more cost-effective transmission solutions and ensure all benefiting customers—load or supply—share costs. It also improves commercial readiness by aligning timelines for large loads and generation projects, reducing uncertainty for both parties.

Currently, utilities and regions use different methodologies for large-load interconnection, creating inconsistent results and perceived unfairness. Standardization ensures uniform technical criteria and assumptions, accelerates studies, and minimizes delays by reducing clarifications. A standardized approach also improves transparency, lowers costs by avoiding duplicative studies, and helps developers adapt to a single set of requirements.

The Commission, in Order No. 2023, also determined that advanced transmission technologies (ATTs) can accelerate generator interconnections by providing network upgrades faster and at lower cost than traditional methods, and therefore required their evaluation in interconnection studies. These benefits also apply to large load interconnections, as ATTs are the quickest way to increase transmission capacity while reducing upgrade and system costs and improving reliability for consumers. Accordingly, CEBA recommends that the Commission require ATTs—including dynamic line ratings—to be evaluated alongside traditional upgrades for large load interconnections, consistent with Order No. 2023, given the significant benefits identified for consumers and interconnection customers.

The Commission should:

- Coordinate interconnection studies for large-load and supply-side customers and adopt standardized methodologies to reduce delays, improve cost efficiency, and enhance transparency.;
- Require interconnection studies conducted by ISO/RTOs or utilities to model operational profile of large loads offering flexibility or proposing hybrid configurations. Either model can obviate the need for transmission and generation investments and thereby should result in study results which provide for accelerated timelines. This can serve as a considerable incentive for new large loads to evaluate and propose these types of capabilities and project configurations. We recommend against introducing procedures which allow loads to “skip ahead” either study or

energization queues. “Prioritization” frameworks introduce considerable room for fluctuating policy objectives to drive interconnection access and inevitably raise significant questions around non-discriminatory and non-preferential access. Load and supply interconnection queue processes must remain grounded in specific technical and financial criteria and foreclose mechanisms which introduce risk of politicization.

- Require transparent publication of study methodologies, consistent with Order No. 890’s transparency requirements.
- Consider a cluster-based approach, as the Commission has supported to expedite generation interconnection, more comprehensively and efficiently study and address upgrade needs, and to more justly and equitably allocate upgrade costs.
- Require ATTs, including dynamic line ratings, to be evaluated alongside traditional upgrades in large load interconnection studies to accelerate capacity, reduce costs, and improve reliability.

This aligns with FERC’s obligation to ensure open access and just and reasonable rates. Today’s patchwork of region-specific or utility-specific processes leads to significant delays, inconsistent results, and uncertainty that undermines investment. A standardized approach—modeled on the generator interconnection process but tailored to load—will help mitigate these challenges. Studies methodology and process must recognize and account for the actual electrical characteristics and operational behavior of the proposed load. For example, where loads offer flexibility, such as fast curtailment or dispatchable operation, or are configured as hybrids, study methodologies should drive results which reflect the reduced system impacts of such projects. If study procedures are broadly standardized in this manner a powerful incentive will emerge across markets and utility service territories that can drive innovation and result in much improved power system reliability and efficiency for the nation.

Reducing study timelines is essential for system reliability and affordability. When necessary infrastructure is delayed, congestion increases, older units run more often, and wholesale prices rise. A timely interconnection process reduces these risks and strengthens the resilience of the bulk-power system.

4. Preserving Existing Behind-the-Meter and Distribution-Level Systems is Critical to Avoid Disruption and Unnecessary Cost Increases

Many businesses, campuses, and industrial sites have invested in behind-the-meter or distribution-connected resources that support reliability and lower costs. These systems reduce strain on the transmission grid, help manage peak demand, and provide resilience during outages. Pulling these systems into new transmission-level regulatory frameworks would create confusion, raise costs, and slow deployment—not only harming local reliability but also increasing systemwide energy costs.

Under the FPA, FERC's jurisdiction over electric rates is limited to the transmission of electric energy in interstate commerce and the wholesale sale of electric energy in interstate commerce.

As the ANOPR states, the reforms under consideration apply to transmission-connected large loads only, not to behind-the-meter installations or state-jurisdictional distribution-level facilities. To the extent the Commission proceeds with a rulemaking, it should seek to affirm this boundary clearly in any proposed rule to avoid regulatory ambiguity.

Inadvertently extending federal interconnection processes to behind-the-meter or distribution-connected resources would create confusion, delay beneficial projects, and impose unnecessary costs on customers. These systems play an important role in reducing systemwide demand, supporting local resilience, and putting downward pressure on electricity prices. Protecting their jurisdictional status is essential to maintaining efficient, cost-effective energy integration.

5. Ensure Nondiscriminatory and Transparent Access to Transmission Service for Large Loads

FPA § 205(b) prohibits undue discrimination. FERC's open-access regime (Order No. 888) requires utilities to offer transmission service on comparable terms. The Commission should work with the states to ensure that large loads receive nondiscriminatory access to transmission service, consistent with open-access principles that have governed wholesale markets for decades. Delays or barriers, whether intentional or inadvertent, can increase congestion, impair reliability, and drive up costs for all customers.

Transparency in study assumptions, upgrade assignments, and timelines is critical. Clear processes reduce uncertainty and disputes, encourage investment in efficient large-load development, and enable the grid to respond more quickly to demand growth. Ensuring open, consistent access to the transmission system strengthens both reliability and affordability. Opaque or inconsistent processes create unjust and unreasonable outcomes in violation of FPA §§ 205–206.

The Commission should mandate:

- Transparency in transmission-connected load queue management;

- Public posting of study parameters and assumptions;
- Clear criteria for assigning upgrades and timelines.

Open access is not merely a governance principle—it is an economic necessity and a reliability safeguard in an era of accelerating demand.

6. Encourage Co-Located and Hybrid Configurations to Enable Flexibility and Rapid Deployment

Hybrid designs and energy-park models, where generation, load, energy storage, and other resources are co-developed, can dramatically reduce infrastructure costs, improve local reliability, and allow load additions without extensive system upgrades. These configurations minimize dependence on stressed transmission corridors, reduce line losses, and allow flexible, modular expansion.

FPA § 202(a) encourages arrangements that improve economy, efficiency, and coordination of facilities for generating and transmitting energy. Co-locating large loads with generation significantly reduces transmission usage by aligning demand with supply at or near a common point of interconnection. This approach:

- Reduces line losses, consistent with FERC's long-standing recognition that loss reduction is an element of efficient transmission service (see Order No. 888, 75 FERC ¶ 61,080 (1996));
- Improves system stability by minimizing long-distance transfers that contribute to congestion and reliability constraints; and

- Allows resources to come online gradually as demand grows, accelerating generation or storage deployment and helps prevent scarcity-driven price spikes.

The FPA authorizes the Commission to encourage arrangements that promote economical and efficient system operations (FPA § 202(a)). Co-location is precisely such an arrangement, enabling more efficient energy integration and reducing costs associated with distant power flows. The Commission should ensure that its policies do not inhibit such configurations and should clarify that interconnection customers may request only the injection or withdrawal rights they actually need.

Innovation is needed in how ISOs/RTOs and utilities conduct interconnection studies. A maximally economical and efficient system requires that interconnection studies recognize the operational characteristics of large loads offering flexibility or proposing hybrid configurations. Innovation in interconnection design encourages more efficient energy integration and supports downward pressure on electricity prices. Large load flexibility through dispatch of underlying IT workloads is an emerging technology which holds considerable promise and could result in data center large loads capable of providing various forms of energy, capacity, and ancillary services. For example, Nvidia and its partners are deploying software at a new data center in Virginia, called Aurora, to shift computing workloads based on grid conditions. When electricity demand is high, the system can temporarily throttle energy-intensive AI jobs and resume them when the grid is less stressed, effectively balancing power usage without disrupting operations. Crucially, most workloads hosted by data centers today are mission-critical enterprise services that cannot be curtailed or shifted in a way meaningful to power system planning and operations. These workloads power the digital ecosystem that supports the modern economy, including our financial markets and payment systems, healthcare providers, manufacturers, and the public sector, including national security organizations. Accordingly, it is essential that interconnection design for large loads is structured to enable innovation and competition through voluntary pathways rather than mandates.

Hybrid facilities offer another pathway to flexibility. Hybrid projects can utilize generation and storage technologies that have a strong operational track record in terms of responding to balancing authority dispatch requirements. For example, Aligned Data Centers is accelerating a Pacific Northwest datacenter launch by funding a 31-megawatt battery sited in a way that solves specific transmission system constraints and thereby obviates the need for years-long system upgrades. This approach, which lets large loads reduce power draw during peak demand, could become a common strategy for large loads because it accelerates interconnection, minimizes risks of stranded assets, and can drive improved overall system (transmission and generation) utilization and thereby place broad downward pressure on rates. Both approaches to "flexibility" show promise but neither will be a one-size fits all solution due to differing commercial models of large loads and differing local system requirements. Therefore, it is essential that the Commission advance interconnection design for large loads in ways that are voluntary and structured to enable innovation.

FERC should also require transmission providers to study large-load interconnection requests based on realistic operating behavior, like the approach in Order 2023 for storage resources, to improve accuracy, avoid unnecessary upgrades, and reduce excessive costs.

The Commission should clarify that customers may request:

- Only the injection/withdrawal rights they need (i.e., study injection based upon "not to exceed" commitments and realistic operating behavior);

- Flexible injection/withdrawal arrangements; and
- Shared or modular interconnection configurations.

7. Recognize Co-Location of Large Loads with Generation and/or Storage as High-Value Configurations.

Ensuring efficient system operation is consistent with the Commission's obligation to maintain just and reasonable rates (FPA §§ 205–206) and with its broader authority under § 202(a). The Commission should explicitly recognize that co-locating large loads with generation, whether existing or new, provides meaningful system benefits and should be treated as an authorized interconnection configuration and be studied in a way that reflects their reduced system impact. Co-location reduces congestion and line losses, alleviates strain on overstressed transmission corridors, simplifies power flows, and accelerates time-to-interconnection. This, in turn, reduces reliability risks, lowers the cost of service, and improves system efficiency.

In today's environment of rapidly rising electricity demand, the Commission's rules should encourage configurations that use transmission capacity wisely, reduce costly new infrastructure requirements, and improve operational visibility for system operators. The Commission should adopt policies that encourage, rather than inadvertently disadvantage, co-located designs. The configuration of hybrid projects is evolving, but whether the hybrid pairing is inside a data center, shares space on-site, or adjacent to or with the vicinity of a data center, they can deliver, according to the specific local system conditions, these broad benefits to the system. So long as that is the case, this type of "flexible" project design should yield its own reward in terms of reduced energization timelines, and FERC should refrain from offering a super priority beyond the interconnection benefits that the flexibility already provides.

FERC conducted a technical conference last year and earlier this year voted unanimously to review issues related to co-locating large loads at generating facilities within PJM. FERC should complete its review expeditiously and determine if PJM's tariff, as well as those of other electricity markets, need clearer rules to ensure grid reliability and fair allocation of costs.

Conclusion: Reliability, Affordability, and Speed Must Drive U.S. Policy Decisions

The United States must move with urgency. Electricity demand is rising at historic rates. Competitor nations are deploying energy and industrial infrastructure at unmatched speed. Delays in U.S. deployment have direct consequences: reduced reliability, higher electricity prices, and loss of global technological leadership.

The Commission's ANOPR represents a timely and necessary step toward developing a modern regulatory structure for large-load interconnections. The principles outlined above are designed to help the Commission craft a proposed rule that ensures:

- High system reliability
- Just and reasonable electricity rates
- Efficient energy integration of both supply and demand
- Timely deployment of new infrastructure
- Support for national economic competitiveness.

The United States is entering a period of historic electricity demand growth. The Commission has a critical role in ensuring that large loads are integrated into the bulk-power system in a manner that protects reliability, controls costs, and supports the broader energy and economic goals of the nation. The stakes are high, and the timeline is short. The United States cannot afford to delay the policies needed to build a reliable, affordable, and globally competitive energy system.

We respectfully urge the Commission to move swiftly in developing a proposed rule consistent with these principles.

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